PRADITA University

Meeting 3

# Organizing in a Changing Global Environment

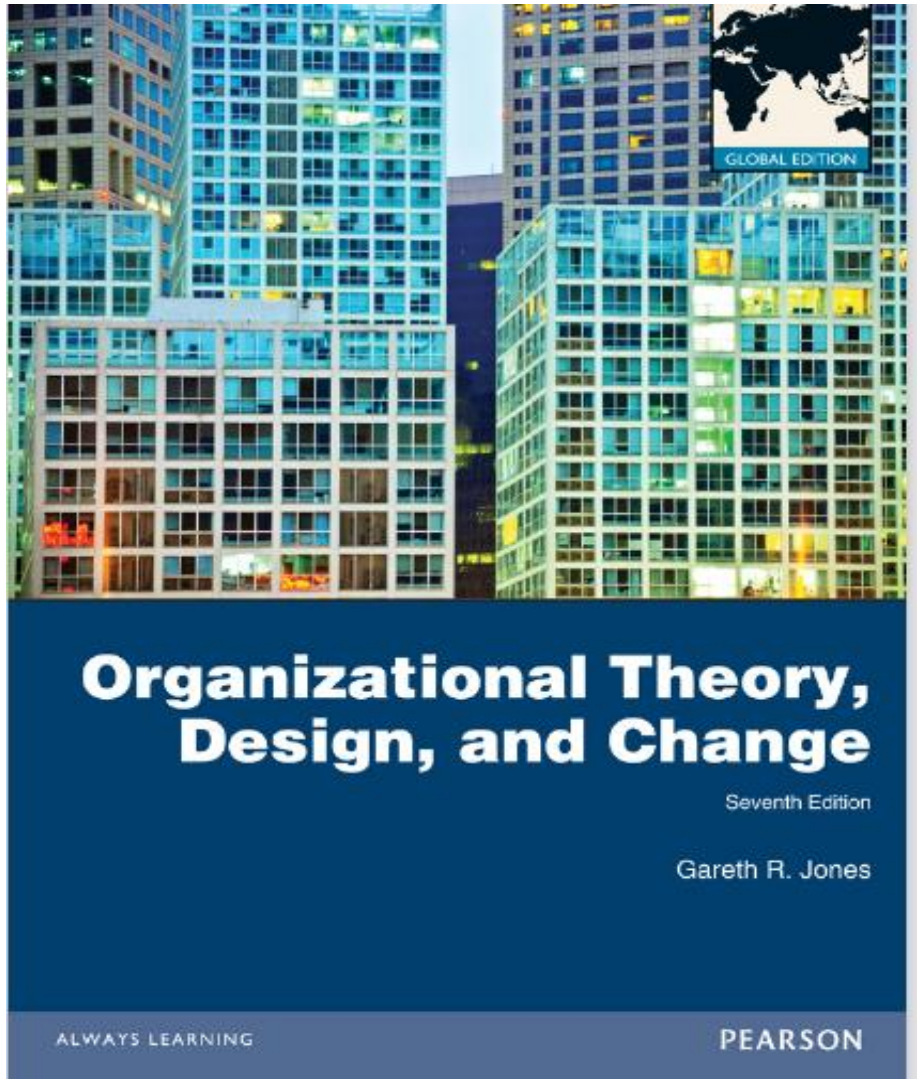


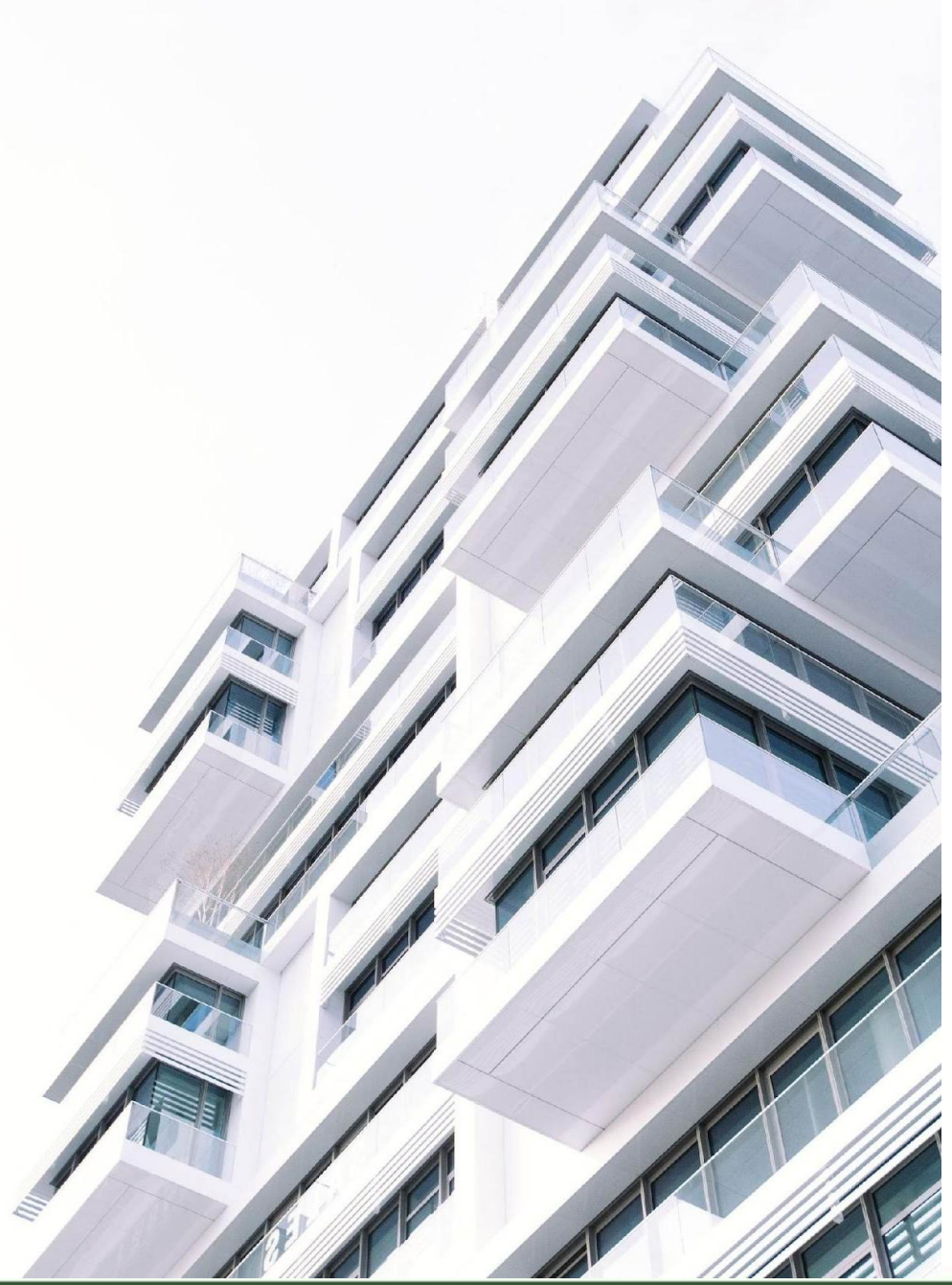

PRU/SPMI/FR-BM-18/R.01/0325

PRADITA UNIVERSITY

PRADITA University

## REFERENCES





PRADITA University

## Learning Outcomes

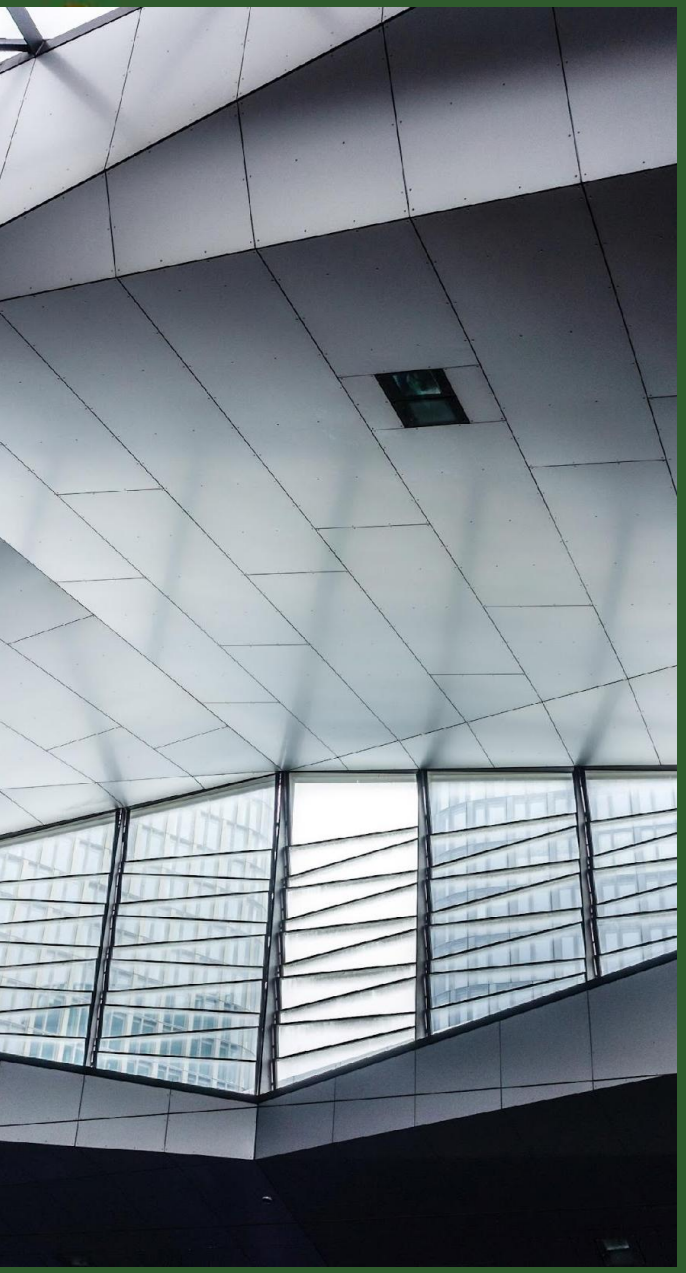
*After studying this chapter you should be able to :*

1. List the forces in an organization's specific and general environment that give rise to opportunities and threats
2. Identify why uncertainty exists in the environment

PRADITA University

# Learning Objectives

3. Describe how and why an organization seeks to adapt to and control these forces to reduce uncertainty.
4. Understand how resource dependence theory and transaction cost explain why organizations choose different kinds of interorganizational strategies to manage their environments to gain the resources they need to achieve their goals and create value for their stakeholders.



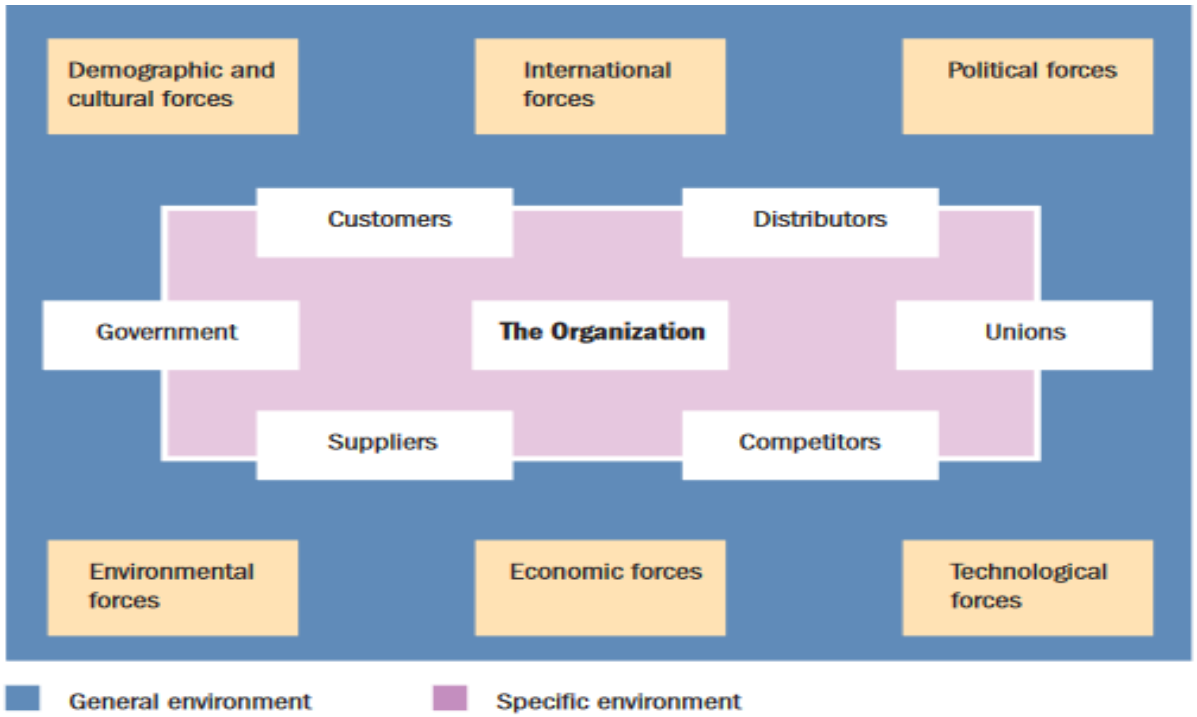
PRADITA University

# What Is the Organizational Environment?

- Environment : The set of forces surrounding an organization that have the potential to affect the way it operates and its access to scarce resources
- Organizational domain : The particular range of goods and services that the organization produces and the customers and other stakeholders it serves

PRADITA University

# Figure 3.1 The Organizational Environment



PRADITA University

# The Organizational Environment

1. Specific environment : The forces from outside stakeholder groups that directly affect an organization’s ability to secure resources.
2. General environment : The forces that shape the specific environment and affect the ability of all organizations in a particular environment to obtain resources.



## General Environments

1. Economic forces : interest rates, the unemployment rate, determine the level of demand for products and the price of inputs.
2. Technological forces : the development of new production techniques and new information-processing equipment.

# General Environments (cont'd)

3. Political, ethical, and environmental forces influence government policy toward organizations and their stakeholders.
4. Demographic, cultural, and social forces : the age, education, lifestyle, norms, values, and customs of a nation's people.

# Organizational Effectiveness: Satisfying Stakeholders' Goals and Interests

- Problems that an organization faces as it tries to win stakeholders' approval:
  1. Choosing which stakeholder goals to satisfy
  2. Deciding how to allocate organizational rewards to different stakeholder groups
  3. Balancing short-term and long-term goals

## Sources of Uncertainty (cont'd)

2) Environmental dynamism : The degree to which forces in the specific and general environments change quickly over time and thus contribute to the uncertainty an organization faces.

- An environment is stable if forces affect the supply of resources in a predictable way
- An environment is unstable and dynamic if an organization cannot predict the way in which the forces will change over time

# Sources of Uncertainty (cont'd)

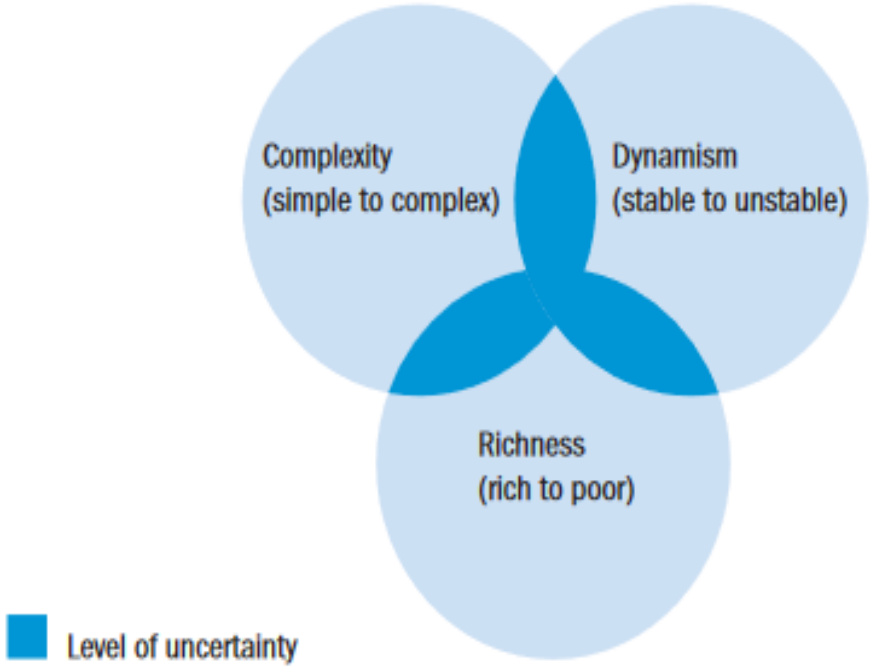
3. Environmental richness : The amount of resources available to support an organization's domain.
   - In rich environments, uncertainty is low because resources are plentiful, the organizations need not compete for them
   - In poor environments, uncertainty is high because resources are scarce and organizations do have to compete for them.

# Environmental Richness (cont'd)

- Environments may be poor for two reasons:
  - located in a poor country or poor region of a country
  - there is a high level of competition and organizations are fighting over available resources

## Figure 3.2 Three Factors Causing Uncertainty

As the environment becomes more complex, less stable, and poorer, the level of uncertainty increases.



## Resource Dependence Theory

- The goal of an organization is to minimize its dependence on other organizations for the supply of scarce resources in its environment
- To find ways to influence them to secure needed resources
- To manage their resource dependence and control their access to scarce resources, organizations develop various strategies.

PRADITA University

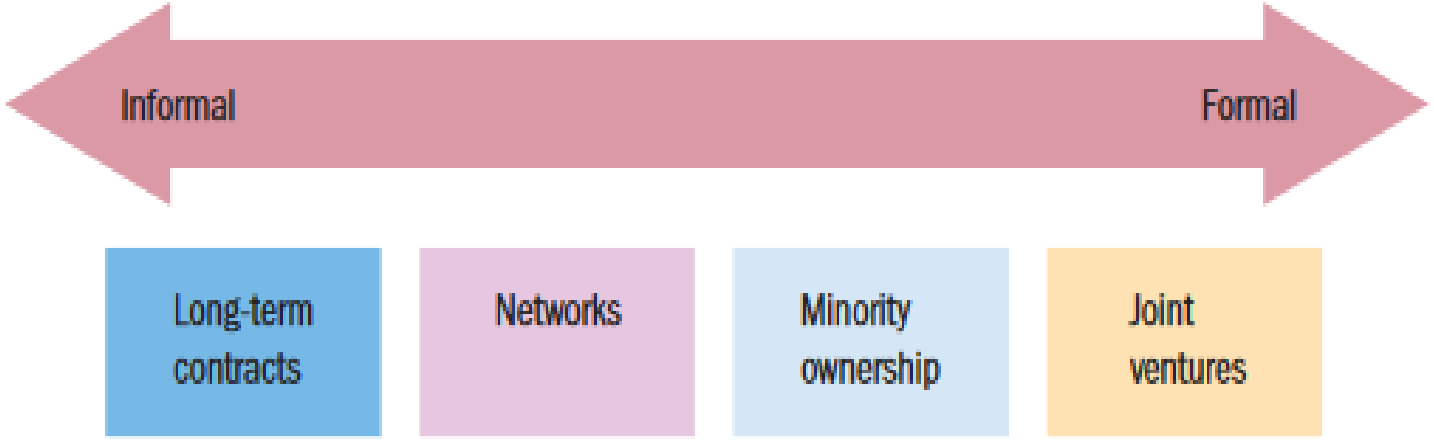
# Interorganizational Strategies for Managing Resource Dependencies

- In the specific environment, two basic types of interdependencies cause uncertainty: symbiotic and competitive.
- Organizations can use various linkage mechanisms to control symbiotic and competitive interdependencies.

# Strategies for Managing Symbiotic Resource Interdependencies

- Developing a Good Reputation
- Cooptation
- Merger and takeover
- Strategic alliance

# Types of Strategic Alliance

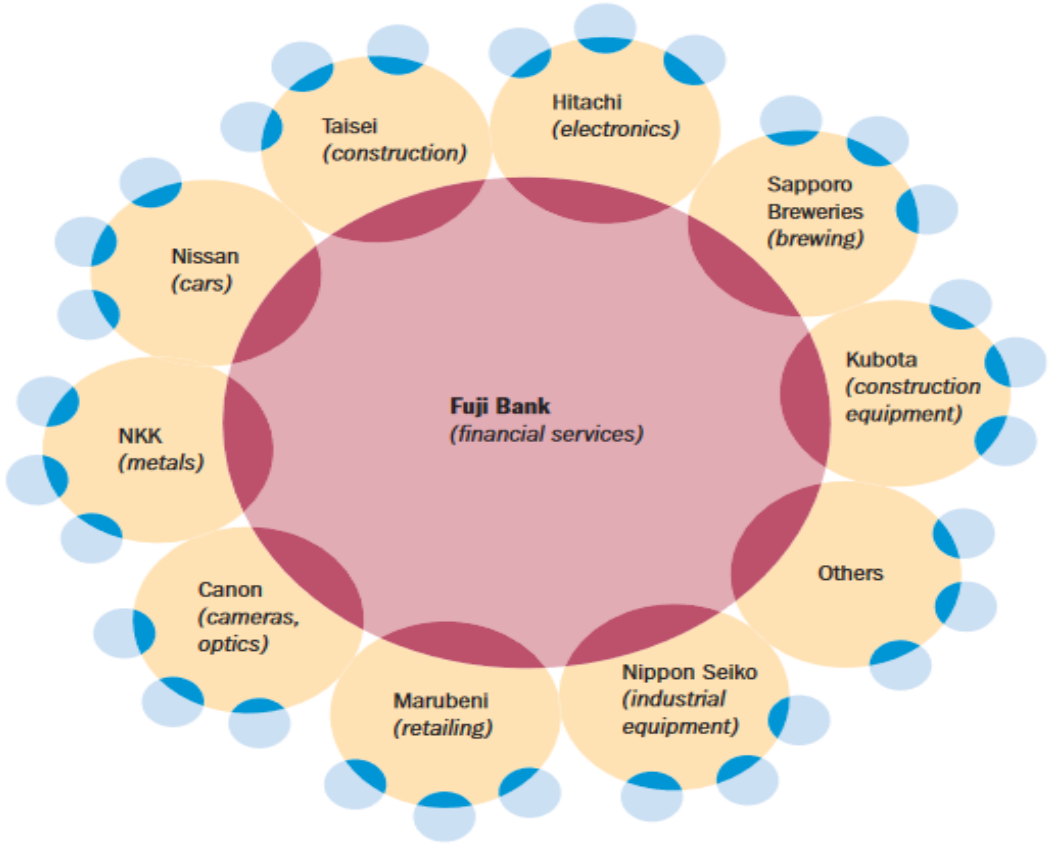


## The Japanese system of keiretsu

- Shows how minority ownership networks operate
- Japanese companies employ two basic forms of keiretsu
- Capital keiretsu are used to manage input and output linkages
- Financial keiretsu are used to manage linkages among many diverse companies

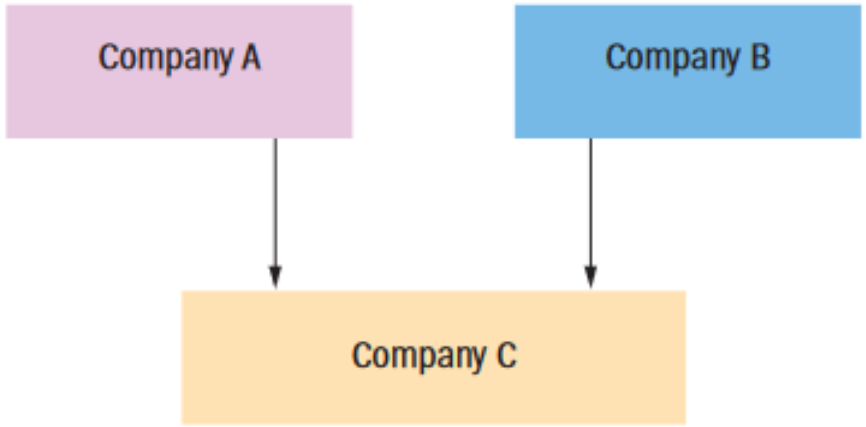
**Figure 3.5 The Fuyo Keiretsu**

A financial keiretsu centered around Fuji Bank in which organizations in the keiretsu are linked by minority share ownership in each other.

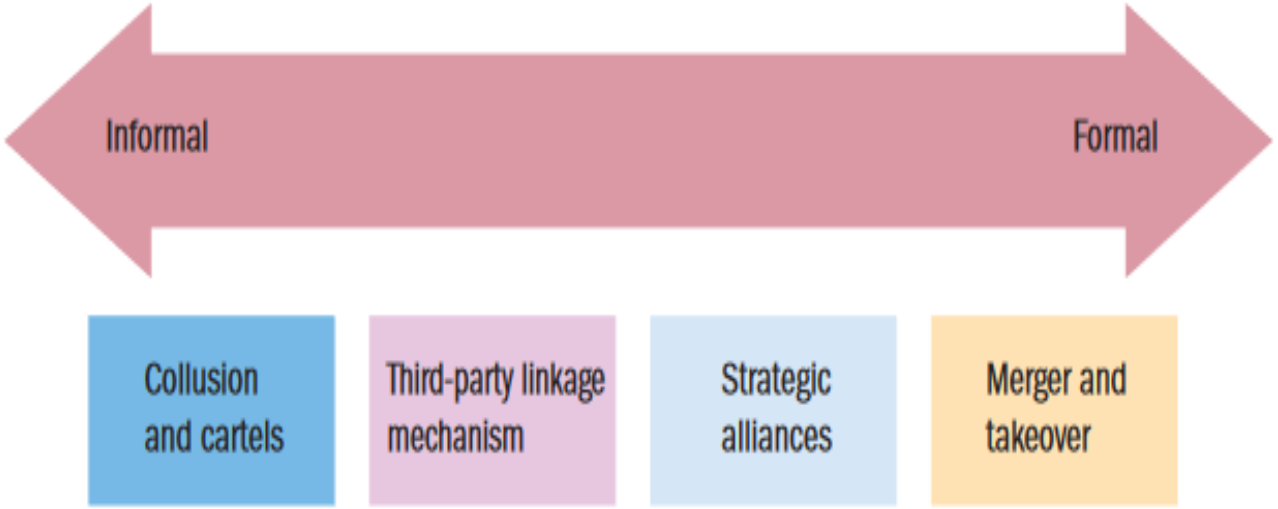


## Joint Venture Formation

Two separate organizations pool resources to create a third organization



# Strategies for Managing Competitive Resource Interdependencies



## Transaction Cost Theory

- Transaction Cost
- The goal of the organization



# Sources of Transaction Costs

- Environmental uncertainty and bounded rationality
- Opportunism and small numbers
- Risk and specific assets

## Transaction Costs and Linkage Mechanisms

- Transaction costs are low when these conditions :
  1. Organizations are exchanging nonspecific goods and services.
  2. Uncertainty is low.
  3. There are many possible exchange partners

## Transaction Costs and (cont'd)

- Transaction costs increase when these conditions:
  1. Organizations begin to exchange more specific goods and services.
  2. Uncertainty increases.
  3. The number of possible exchange partners falls.

# Using Transaction Cost Theory to Choose an Interorganizational Strategy

- Three linkage mechanisms that help organizations to avoid bureaucratic costs while still minimizing transaction costs :
  1. Keiretsu
  2. Franchising
  3. Outsourcing

## Franchising

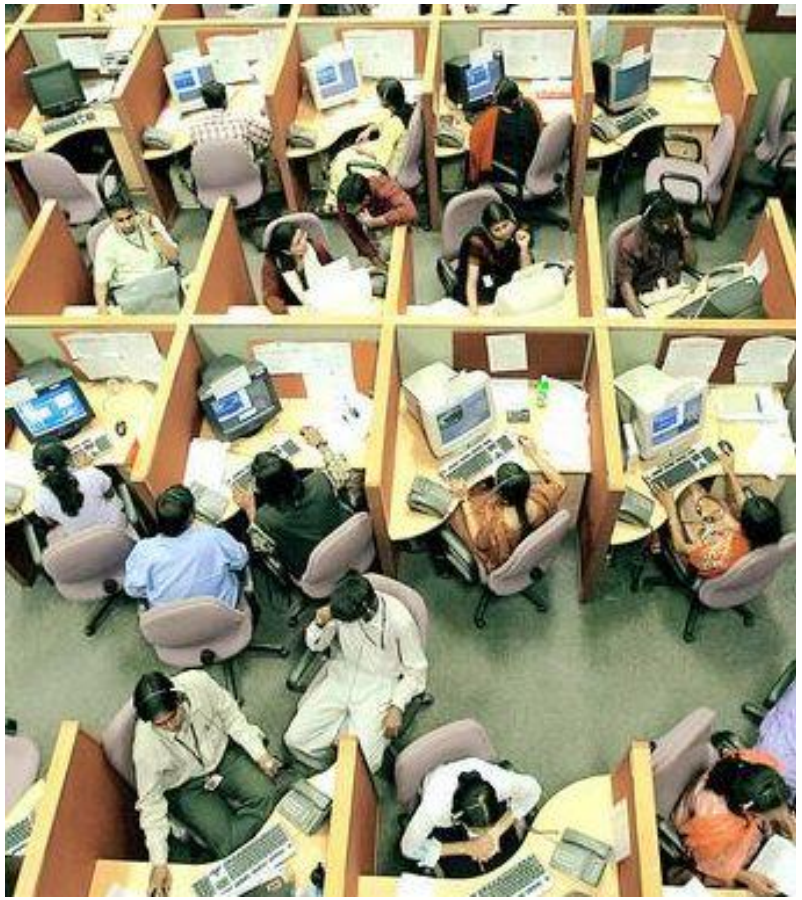
- practicing and using another person's business philosophy
- Franchisor, franchisee
- The *franchisor* grants the independent operator the right to distribute its products, techniques, and trademarks for a percentage of gross monthly sales and a royalty fee

- Example: 7 Eleven



# Global outsourcing





# Examples of Global outsourcing

- labor-intensive manufactured products produced using low-cost Chinese labor
- Call centers staffed with low-cost English speaking workers in the Philippines and India
- IT work performed by low-cost programmers in India and Eastern Europe

# THANK YOU

